



NEW MEXICO ASSOCIATION OF REALTORS® — 2025
ADDENDUM NO. _____
APPRAISAL CONTINGENCY WAIVER ADDENDUM



IMPORTANT - READ ENTIRE ADDENDUM CAREFULLY



THIS ADDENDUM REPLACES THE APPRAISAL CONTINGENCY PROVISIONS OF THE PURCHASE AGREEMENT. IF USING THE NMAR 2104 - PURCHASE AGREEMENT - RESIDENTIAL RESALE AGREEMENT, THIS ADDENDUM REPLACES PARA. 9(D) IN ITS ENTIRETY.

IF BUYER IS OBTAINING AN FHA OR VA LOAN, THE LENDER WILL REQUIRE THE PARTIES TO SIGN AN AMENDATORY/ESCAPE CLAUSE ADDENDUM THAT STATES THAT REGARDLESS OF THE PARTIES AGREEMENT IN THIS ADDENDUM, THE BUYER SHALL HAVE THE RIGHT (THOUGH NOT THE OBLIGATION) TO TERMINATE THE AGREEMENT WITHOUT PENALTY IF THE APPRAISED VALUE IS LESS THAN THE PURCHASE PRICE. THE FHA/VA ADDENDUM WILL SUPERCEDE THIS ADDENDUM.

This Addendum is hereby incorporated into and made part of the Purchase Agreement dated: _____, 20____
 between _____ (“Buyer”)
 and _____ (“Seller”)
 and relating to the following Property:

Address (Street, City, State, Zip Code) _____

Legal Description _____

or see metes and bounds legal description attached as Exhibit _____, _____ County(ies), New Mexico
 (hereinafter the “Purchase Agreement”).

THE PARTIES AGREE THAT THE APPRAISAL CONTINGENCY IN THE PURCHASE AGREEMENT IS REPLACED IN ITS ENTIRETY AS FOLLOWS:

1. MODIFICATION OF APPRAISAL CONTINGENCY. CHECK ONLY ONE OPTION BELOW.

Option A to be used if Buyer is obtaining a loan. Buyer’s lender will require an appraisal even if Buyer waives the Appraisal Contingency. Seller agrees to allow access to the Property for the appraisal.

☐ **OPTION A: BUYER FULLY WAIVES THE APPRAISAL CONTINGENCY**



IMPORTANT NOTE: THIS MEANS THAT BUYER AGREES TO PURCHASE THE PROPERTY AT THE PURCHASE PRICE REGARDLESS OF THE AMOUNT FOR WHICH THE PROPERTY APPRAISES.

CASH FUNDS AT CLOSING. If Buyer is obtaining a loan and the appraisal is less than the Purchase Price, then Buyer agrees to pay by the Funding Date in readily available funds any difference between the amount of the loan and the Purchase Price (“Difference”).

☐ **if checked, then within two (2) days of Buyer’s receipt of the appraisal, Buyer shall deliver to Seller a copy of the appraisal and proof of funds for the Difference.**

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Options B through E to be used if Buyer is obtaining a loan or paying cash or the purchase of the Property will be seller-financed. If this is a cash or seller-financed transaction, one of the following options would be selected IF the Buyer is requiring an appraisal and IF the Buyer will be partially waiving the Appraisal Contingency in the Purchase Agreement (Para. 9(D) of the NMAR Form 2104 - Purchase Agreement – Residential Resale). In this event, the Buyer shall select the appraiser.

☐ **OPTION B: LIMITED WAIVER OF APPRAISAL CONTINGENCY.**

- Buyer shall pay a certain amount over the appraisal up to a “Buyer’s Cap.”
- The “Buyer’s Cap” is the highest Purchase Price that Buyer is willing to pay.
- The “Appraisal Gap” is the amount over the appraisal amount that Buyer is willing to pay.
- The “Ratified Purchase Price” is the new Purchase Price adjusted after the appraisal per this Option B.
- The numbers to be inserted in the blank spaces are indicated under the spaces. **ALL SPACES TO BE COMPLETED.**

BUYER SHALL PAY THE LESSER OF \$ _____ OVER THE APPRAISED VALUE
OR
Appraisal Gap

\$ _____ **WHICHEVER IS LESS.**
Buyer’s Cap

PRICE MODIFICATION ADDENDUM. Within two (2) days of Buyer’s receipt of the appraisal, Buyer shall deliver to Seller:

- A Price Modification Addendum reflecting the Ratified Purchase Price (NMAR Form 2101);
- If the Ratified Purchase Price is less than the Buyer’s Cap, a Copy of the Appraisal; and
- If applicable, Proof of Funds per Paragraph 2(B) below.

Notwithstanding the foregoing, if Buyer delivers the above required documents, this Addendum remains in full force and effect even if the parties fail to execute a Price Modification Addendum as required by this Addendum.

BUYER(S) OR SELLER(S) SUBMITTING _____



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☐ **OPTION C: LIMITED WAIVER OF APPRAISAL CONTINGENCY.**

- Buyer shall pay the Purchase Price or a certain amount over the appraisal whichever is greater.
- The “Appraisal Gap” is the amount over the appraisal amount that Buyer is willing to pay.
- The “Ratified Purchase Price” is the new Purchase Price adjusted after the appraisal per this Option C.
- The numbers to be inserted in the blank spaces are indicated under the spaces. **ALL SPACES TO BE COMPLETED.**

**BUYER SHALL PAY THE PURCHASE PRICE IN THE PURCHASE AGREEMENT OR
\$ _____ ABOVE THE APPRAISAL AMOUNT, WHICHEVER SHALL BE GREATER.**
Appraisal Gap

Within two (2) days of Buyer’s receipt of the appraisal, Buyer shall deliver to Seller:

- A Copy of the Appraisal;
- A Price Modification Addendum reflecting the Ratified Purchase Price (NMAR Form 2101); and
- If applicable, Proof of Funds per Paragraph 2(B) below.

Notwithstanding the foregoing, if Buyer delivers the above required documents, this Addendum remains in full force and effect even if the parties fail to execute a Price Modification Addendum as required by this Addendum.

BUYER(S) OR SELLER(S) SUBMITTING _____



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☐ **OPTION D: LIMITED WAIVER OF THE APPRAISAL CONTINGENCY**

- This Option allows Buyer to set forth the highest Purchase Price they are willing to pay, provided the Property appraises at or above the indicated amount and provides that Seller is guaranteed to receive no less than the Purchase Price if the appraisal comes in below the indicated amount.
- The “Buyer’s Cap” is the highest Purchase Price that Buyer is willing to pay.
- The “Seller’s Guarantee” is the amount that Seller is guaranteed to receive, even if the appraisal comes in below the Purchase Price.
- The “Appraisal Gap” is the amount over the appraisal amount that Buyer is willing to pay.
- The “Ratified Purchase Price” is the new Purchase Price adjusted after the appraisal per this Option D.
- The numbers to be inserted in the blank spaces are indicated under the spaces. **ALL SPACES TO BE COMPLETED.**

PURCHASE PRICE: \$ _____

APPRAISAL GAP: \$ _____

(1) IF THE PROPERTY APPRAISES FOR MORE THAN \$ _____
PURCHASE PRICE MINUS THE APPRAISAL GAP
THEN BUYER SHALL PAY THE LESSER OF:

\$ _____ OVER THE APPRAISED VALUE
APPRAISAL GAP

- OR -

\$ _____
BUYER’S CAP

(2) IF PROPERTY APPRAISES FOR LESS THAN \$ _____
PURCHASE PRICE MINUS THE APPRAISAL GAP
THEN BUYER SHALL PAY THE GREATER OF:

\$ _____ OVER THE APPRAISED VALUE
APPRAISAL GAP

- OR -

\$ _____
SELLER’S GUARANTEE



IMPORTANT NOTE: UNDER THIS OPTION D, BUYER WILL BE REQUIRED TO BRING TO CLOSING THE DIFFERENCE IN CASH BETWEEN THE APPRAISED AMOUNT AND SELLER’S GUARANTEE. DEPENDING ON THE APPRAISAL AMOUNT, THIS COULD BE A SIGNIFICANT AMOUNT OF MONEY.

PRICE MODIFICATION ADDENDUM. Within two (2) days of Buyer’s receipt of the appraisal, Buyer shall deliver to Seller:

- A Price Modification Addendum reflecting the Ratified Purchase Price (NMAR Form 2101);
- If the Ratified Purchase Price is less than the Buyer’s Cap, a Copy of the Appraisal;
- If applicable, Proof of Funds per Paragraph 2(B) below.

Notwithstanding the foregoing, if Buyer delivers the above required documents, this Addendum remains in full force and effect even if the parties fail to execute a Price Modification Addendum as required by this Addendum.



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☐ **OPTION E: LIMITED WAIVER WITH OPTION TO RE-NEGOTIATE PURCHASE PRICE**

- This Option allows Buyer to set forth the highest Purchase Price they are willing to pay, provided the Property appraises above the indicated amount and allows the parties to re-negotiate a Purchase Price if the Property appraises below the indicated amount.
- The “Buyer’s Cap” is the highest Purchase Price that Buyer is willing to pay.
- The “Appraisal Gap” is the amount over the appraisal amount that Buyer is willing to pay.
- The “Ratified Purchase Price” is the new Purchase Price adjusted after the appraisal per this Option E.
- The numbers to be inserted in the blank spaces are indicated under the spaces. **ALL SPACES TO BE COMPLETED.**

PURCHASE PRICE: \$ _____

APPRAISAL GAP: \$ _____

(1) IF THE PROPERTY APPRAISES FOR MORE THAN \$ _____
PURCHASE PRICE MINUS THE APPRAISAL GAP
THEN BUYER SHALL PAY THE LESSER OF \$ _____ OVER THE APPRAISED VALUE OR
\$ _____
BUYER’S CAP

Within two (2) days of Buyer’s receipt of the appraisal, Buyer shall deliver to Seller:

- A Price Modification Addendum reflecting the Ratified Purchase Price (NMAR Form 2101);
- If the Ratified Purchase Price is less than the Buyer’s Cap, a Copy of the appraisal; and;
- If applicable, Proof of Funds per Paragraph 2(B) below.

Notwithstanding the foregoing, if Buyer delivers the foregoing, this Addendum remains in full force and effect even if the parties fail to execute a Price Modification Addendum as required by this Addendum.

(2) IF THE PROPERTY APPRAISES FOR LESS THAN \$ _____
PURCHASE PRICE MINUS THE APPRAISAL GAP

BUYER SHALL DELIVER A COPY OF THE APPRAISAL TO SELLER WITHIN TWO (2) DAYS OF BUYER’S RECEIPT OF THE APPRAISAL AND ONE OF THE FOLLOWING SHALL OCCUR WITHIN FIVE (5) DAYS OF SELLER’S RECEIPT OF THE APPRAISAL.

BUYER SHALL HAVE THE RIGHT, BUT NOT THE OBLIGATION, TO PURCHASE THE PROPERTY FOR THE PURCHASE PRICE.

-----OR-----

THE PARTIES MAY RE-NEGOTIATE A PURCHASE PRICE.

If the Buyer elects to purchase the Property for the Purchase Price or the parties renegotiate a Purchase Price, the parties shall fully execute a Price Modification Addendum reflecting the **RATIFIED PURCHASE PRICE** (NMAR FORM 2101) and if applicable, Proof of Funds per Paragraph 2(B) below. **Notwithstanding the foregoing, if Buyer exercises their right to purchase for the Purchase Price and delivers the above required documents, this Addendum remains in full force and effect even if Seller fails to execute a Price Modification Addendum as required by this Addendum.**

If Buyer does not exercise their option to purchase for the Purchase Price AND the parties fail to execute a Price Modification Addendum within FIVE (5) days of Seller’s receipt of the appraisal, then this Agreement SHALL AUTOMATICALLY TERMINATE and Earnest Money, if delivered, shall be refunded to Buyer.

BUYER(S) OR SELLER(S) SUBMITTING _____



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2. **CASH FUNDS AT CLOSING.** If Buyer is securing a loan to purchase the Property and Buyer has agreed to pay more than the appraised value under any of the foregoing options, Buyer agrees as follows:
- A. To pay by the Funding Date in readily available funds any difference between the amount of the loan and the final Purchase Price, as modified by this Addendum (“Difference”); and
 - B. ☐ if checked, to provide Seller with proof of funds for the Difference.
 - i. If Option B, C, D or E(1) was chosen, within three (3) days of Buyer providing Seller with a copy of the appraisal;
 - ii. If Option E(2) was chosen, within three (3) days of the parties’ full execution of a Price Modification Addendum.
3. **OTHER CHANGES:**

DISCLAIMER/ACKNOWLEDGMENT: Buyer has read and understands the terms of this Addendum and acknowledges that neither the Broker(s), nor the Brokerage(s) can guarantee or control the amount for which the Property will appraise. Buyer acknowledges and affirms that this waiver of any or all of the Appraisal Contingency, has been made of their own volition and discretion and Buyer agrees to forever hold harmless the Broker(s) and Brokerages(s) with regard to this waiver.

BUYER(S)

_____ Buyer Signature	_____ Printed Name	_____ Date	_____ Time
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_____ Buyer Signature	_____ Printed Name	_____ Date	_____ Time
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DISCLAIMER/ACKNOWLEDGMENT: Seller has read and understands the terms of this Addendum and acknowledges that neither the Broker(s), nor the Brokerage(s) can guarantee or control the amount for which the Property will appraise. Seller acknowledges and affirms that the Option chosen in this Addendum and if applicable, the amount of the Seller’s Floor has been made of their own volition and discretion and Seller agrees to forever hold harmless the Broker(s) and Brokerage(s) with regard to the Option chosen and the amount of the Seller’s Floor.

SELLER(S)

_____ Seller Signature	_____ Printed Name	_____ Date	_____ Time
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_____ Seller Signature	_____ Printed Name	_____ Date	_____ Time
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